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Rates Spark: Heavy Treasuries and tight eurozone liquidity

US Treasuries remain under pressure. It's a slow grind, but the net direction remains up in yield, and in particular in long yields. Front-end yields have been reacting lower to the weaker data. But the back end has other things on its mind. In the eurozone, the decline of excess reserves in the banking system is feeding into funding spreads. We explore

US Treasuries remain under pressure, especially the long end

US Treasuries continue to trade with a heavy tone. Likely more to come

Typically, moves above 4.65% for the US 10yr have been followed by some soothing words from the Trump administration, typically centred on an imminent resolution to the war with Iran. This time, we're not hearing the same. In fact, the latest indications are for no imminent resolution as the shaky 60-day truce came to an end. It's not big so far, but at the margin there is an ongoing upside pressure for energy prices to be anticipated.

On top of that, issuance pressure continues to churn, especially when the wider credit market duration weighted issuance from the hyper-scalers is lumped in. At the same time, we'd not overstate this effect, as credit spreads remain relatively tidy and contained.

The biggest move in recent weeks and months has been the ratcheting higher in real yields. In part aggregate issuance pressure? Sure. But actually, it's real yields moving back to more sensible levels; to the type of levels that we saw before the craziness of the great financial crisis and pandemic years that trampled real yields to the floor. Real yields where they are now is no more than a reversion to more normal rates.

Meanwhile, latest US Treasury International Capital (TIC) system data saw a $72bn net liquidation of US Treasuries by foreigners for June. Japan, China and some custodial centres were net sellers, although of note, Canada, Belgium and Switzerland were net buyers.

These are quite volatile data. In the past three months there has been net selling of $56bn by foreigners, while over the past 12 months there has been net buying of $205bn. Overall net foreign inflows into the US when equities are included remain strong though, at $173bn for June. And at $134bn when banking and short-term flows are included (meaning these saw moderate outflows).

The ongoing tightening of liquidity conditions in the eurozone banking system

In the Eurozone, we note that money-market liquidity conditions are tightening. As the European Central Bank's bond portfolios run off, excess reserves in the banking system have fallen to €2.16tn, down around €300bn this year alone.

This has been feeding through to funding spreads, but the picture remains more nuanced. In unsecured short-term markets, the overnight ESTR is now at its widest level versus the ECB deposit facility rate since the first half of 2021. Further out, 6m and 1y Euribor-OIS spreads are broadly in line with year-to-date averages, but the 3m looks slightly elevated by around 2bp, though it was even wider in July.

Banks' recourse to the ECB's weekly liquidity-providing operation stands at €16.5bn, down from a local peak near €22bn in early August. That is not materially above the mostly €11bn–€18bn weekly allocations seen so far this year. Overall, conditions continue to look ample.

Still, excess liquidity will keep shrinking as the ECB lets its bond portfolios roll off, gradually tightening conditions further. That does not mean overall ECB balance sheet reduction will continue in lock-step. One takeaway from the ECB's late-July bank treasurer survey was that banks intend to hold significant reserve buffers above their minimum requirements. Since the ECB is effectively the sole provider of reserves, stabilising liquidity (and therefore the balance sheet) will eventually require greater use of its liquidity-providing operations. The ECB itself sees these operations as an integral part of day-to-day liquidity management going forward.

Another survey takeaway, however, was that banks still generally prefer market funding, while

ECB funding retains some stigma. This points to tensions ahead: at some stage someone will have to move first and tap the ECB, and some repricing may still be needed to provide that initial nudge. Timing is hard to pin down, but many already seem to be eyeing early 2027.

More importantly, tighter conditions should push secured funding rates closer to the ECB's main refinancing rate — for overnight government GC rates, that is still a little over 10bp relative upside. For broader bond spreads further out the curve, we focus less on the ECB balance sheet size, or even excess reserves, which should stabilise at some point, and more on ECB bond holdings relative to outstanding securities.

The ECB share will continue to shrink for some time as a structural bond portfolio to offset the crisis portfolios still looks distant, and even more so as government issuance is increasing. The ECB's share is also one of the inputs that generally feeds into the modelling of fair value levels of Bund valuations versus swaps, for instance, and therefore one factor that underpins longer-run structural cheapening views for Bunds.

Tuesday's events and market view

The initial focus on Tuesday will be on the UK's jobs data. Elsewhere in Europe, we will be watching Germany's ZEW indicator as well as another speech by the ECB's chief economist Lane, this time on "Monetary Policy in a Geopolitically Fragmented World."

The US publishes, among other things, the import and export prices, housing start numbers and the industrial production data for July.

Primary markets are becoming more active. Germany has mandated banks for a syndicated 30y bond tap. In the broader EUR Sovereign, Supranational, and Agency markets, we have also seen mandates from Germany's Rentenbank (new 7y benchmark) and the KfW (new 3y green). Elsewhere, the UK will auction £4bn in 10y gilts.

Author

Padhraic Garvey, CFA
Regional Head of Research, Americas
padhraic.garvey@ing.com

Benjamin Schroeder
Senior Rates Strategist
benjamin.schroder@ing.com

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